

port-oriented units, which alone account for 33 per cent of exports. There is a need to create a single window in all states for faster clearances, he says. Apparel Export Promotion Council (AEPCC) Chairman Premal Udani calls for a reduction in import duty on machinery used in textile and apparel manufacturing, from 7.5 and 10 per cent to 3 and 5 per cent. "This will expand our manufacturing capacities and make the industry globally competitive," Udani says.

The agri export sector would like to see more emphasis given to exports of fruits, vegetables, animal and animal products, medicinal plants, organic and exotic products, with a view to corner 5 per cent of global agri trade by 2015. According to Agriculture and Processed Food Products Export Development Authority (APEDA) Director S. Dave, there is a need for logistics support like cold storages, refrigerated vans and post-harvest treatment facilities and inclusion of dairy products, meat, fish and poultry in the category of perishables to enable the sector avail tax incentives. The automotive components industry, with a turnover of more than \$18 billion, is expected to gain significantly through new tie-ups, partnerships and marketing initiatives. Jayant Davar, president, Automotive Component Manufacturers Association, feels that the Government should create a fund for modernisation. "The small and medium enterprises (SME) sector alone would require an upgradation fund of around Rs 1,000 crore," says Davar.

The gems and jewellery sector which has been identified as a key growth engine for exports and employment generation, needs the same tax laws which are prevalent in other

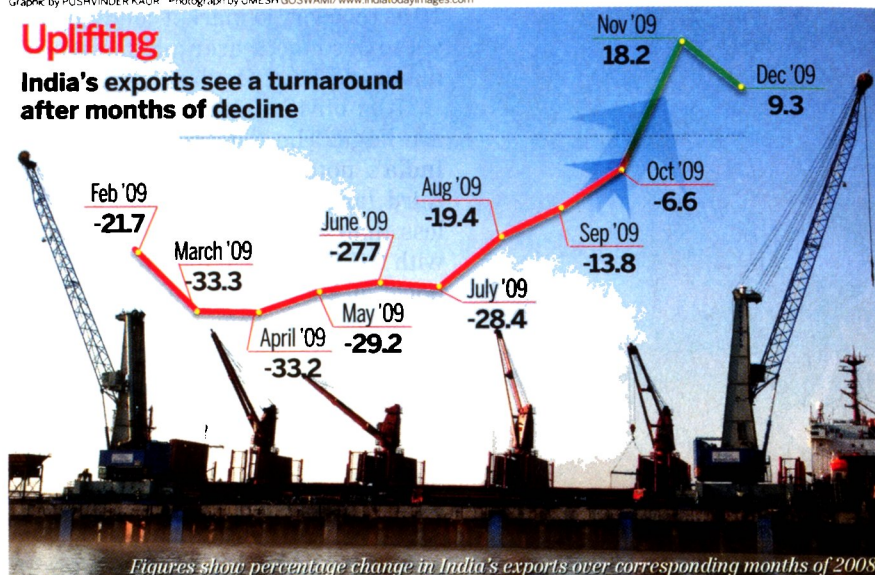
“The gems and jewellery sector, which has just begun to recover, wants the stimulus to continue and tax incentives to stay in the new Direct Tax Code.”

VASANT MEHTA, *Chairman, GJEPC*

Graphic by PUSHVINDER KAUR Photograph by UMESH GOSWAMI/www.indiatodayimages.com

Uplifting

India's exports see a turnaround after months of decline



“Reduction in import duty on textile and apparel machinery will expand our manufacturing capacities and make the industry globally competitive.”

PREMAL UDANI, *Chairman, AEPCC*

diamond cutting centres. "This, more so as the sector is recovering and has posted \$25 billion of exports in 2008-'09," says Vasant Mehta, chairman of the Gems and Jewellery Export Promotion Council (GJEPC). Mehta would want continuation of the stimulus package for another year and export incentives to be retained in the new Direct Tax Code.

These sops, no doubt, carry the promise of lifting India's outbound trade, but lack consistency. For instance, as Sahai points out, export incentives such as cash assistance and blanket exemption for profits from exports have been phased out. Says

Sahai, "Sometimes a product is made part of a scheme to drive its exports and once it shows promise, it is replaced. There is no stable policy regime." The strategy of the UPA Government to mount mega shows abroad to enhance exposure to India's exports is laudable. But there is a crying need to create public-private partnership for setting up a platform to help exporters build brands for long-term value creation. "Why were Indian exporters hit hard?" asks Sahai. "Because we are in such a low-cost segment, India's goods can be easily replaced by any South-east Asian country. Two to three years back the Government came up with the India Brand Equity Fund but even that has fizzled out," adds Sahai.

Ease of doing business, improved infrastructure, brand building and easy credit are the mantras for export growth. Essentially, the road to global market share will need to be paved with reforms that will make the domestic economy competitive. ■

